Fannie Mae

Lender Letter (LL-2026-04)

April 08, 2026

To: All Fannie Mae Single-Family Sellers and Servicers
Governance framework on use of artificial intelligence and machine learning

This Lender Letter has been superseded by the *Fannie Mae Information Security and Business Resiliency Supplement*, published on October 21, 2026.

This Lender Letter issues a governance framework for Fannie Mae Seller/Servicers' use of artificial intelligence and/or machine learning in their origination and/or servicing practices. Given the evolving nature of these technologies, Fannie Mae continues to monitor ongoing developments and related requirements.

Effective: 120 days from publication

Governance framework on use of artificial intelligence and machine learning

Artificial intelligence and/or machine learning (AI/ML) is rapidly reshaping the mortgage landscape, introducing new opportunities to enhance efficiency, strengthen risk management, and deliver more personalized customer experiences. At the same time, the pace of innovation brings heightened responsibility. As AI/ML models grow more complex and more deeply embedded in critical processes, seller/servicers must ensure these technologies are deployed safely, legally, ethically, and in alignment with Fannie Mae's expectations.

To the extent a seller/servicer uses AI/ML in connection with the origination of loans sold to or guaranteed by Fannie Mae or servicing loans on behalf of Fannie Mae, the seller/servicer must ensure compliance with applicable laws and the Lender Contract. In addition, the seller/servicer must:

- Have policies and procedures regarding the development, implementation, use and maintenance of any AI/ML system it utilizes, and the measuring and managing of AI/ML risks. Policies and procedures must, at a minimum:
  - be transparent and communicated to appropriate personnel who have job responsibilities in areas that use AI/ML;
  - incorporate the characteristics of trustworthy and ethical AI/ML;

- reflect an understanding of legal and regulatory requirements regarding AI/ML;
- reflect risk management activities based on the lender's risk tolerance; and
- have an owner(s) that implements, maintains and reviews the policies and procedures at least annually to ensure they comply with applicable law and consistently reflects industry best practices.

- Comply with the requirements in the *Fannie Mae Information Security and Business Resiliency Supplement; and*
- Manage risks and appropriate governance of subcontractor and vendor use of AI/ML that is no less protective of these requirements.

Upon request by Fannie Mae, the seller/servicer must promptly disclose the types of AI/ML used, the purpose and manner for such use, the safeguards the seller/servicer has implemented to mitigate risks related to the use of AI/ML, and such other information as Fannie Mae may require.

Lenders may contact their Fannie Mae Account Team if they have questions about this Lender Letter.
Servicers who have questions may contact their Fannie Mae Servicing Manager or Fannie Mae's Single-Family Servicer Resource Center at 1-800-2FANNIE (1-800-232-6643).
Have Guide questions? Get answers to all your policy questions, straight from the source. Ask Poli.